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UNIVERSITY OF CAMBRIDGE INTERNATIONAL EXAMINATIONS
General Certificate of Education Ordinary Level

ECONOMICS

Paper 1 Multiple Choice

2281/12

October/November 2012

1 hour

Additional Materials: Multiple Choice Answer Sheet
Soft clean eraser
Soft pencil (type B or HB is recommended)



READ THESE INSTRUCTIONS FIRST

Write in soft pencil.

Do not use staples, paper clips, highlighters, glue or correction fluid.

Write your name, Centre number and candidate number on the Answer Sheet in the spaces provided unless this has been done for you.

There are **forty** questions on this paper. Answer **all** questions. For each question there are four possible answers **A, B, C** and **D**.

Choose the **one** you consider correct and record your choice in **soft pencil** on the separate Answer Sheet.

Read the instructions on the Answer Sheet very carefully.

Each correct answer will score one mark. A mark will not be deducted for a wrong answer.

Any rough working should be done in this booklet.

Larale Mustang

Solved with reasons

This document consists of **11** printed pages and **1** blank page.



- 1 In China the government is concerned about the level of poverty and the need for more resources in the poorer regions of the country. As a result, it is increasing its expenditure there and reducing it in the wealthier regions.

Government expenditure

Which economic concept does this government policy illustrate best?

- A diseconomies of scale (*Average cost rise*)
 B market forces (*Demand and Supply*)
☒ C opportunity cost (*increasing at one place, and reducing at other*), choice made!
 D specialisation (*focus on one*)

- 2 A country with a low income per head discovers large quantities of oil, which eventually makes everybody better off.

** Unlimited wants, limited resources, scarcity, choice!*

Why is the basic economic problem of scarcity not solved by this discovery?

- A People may not get jobs in the oil industry. (*They will*)
☒ B People's wants are always changing and increasing.
 C Prices of oil can fluctuate on the world market.
 D Production of oil can damage the environment.

** If one problem is solved, other will be created*

*] Nothing with economic problem
* concept of poverty*

Enterprise ↑

- 3 Two telecommunications companies are to merge to finance investments in new technology, which will be more efficient and require smaller buildings. Three hundred workers will lose their jobs.

↳ It can be more or less Land ↓

Labour ↓

What will happen to the factors of production used?

	land	labour	capital	enterprise
A	fall ✓	fall ✓	rise	fall
☒ B	fall ✓	fall ✓	uncertain ✓	rise ✓
C	rise	rise	rise	rise ✓
D	uncertain	rise	fall	fall

- 4 Why might a free market economy be more advantageous than a mixed economy?

- A Equality of income is encouraged. *No, allocation on the basis of ability*
 B In a mixed economy, governments use taxes which are inefficient. *It's an advantage of mixed*
☒ C Production is determined solely by consumer wishes.
 D Social costs are taken into consideration. *Not taken into consideration*

Resource allocation on the basis of price mechanism, where prices are determined by the forces of demand and supply, where prices provide signal to the producer to allocate resources in profit maximizing manner.

- 5 An international company drilled for oil in deep water and caused a major oil leakage, which affected the jobs of the fishing community. The government ordered the company to close the well and to stop drilling in the area.

What are the external costs of this incident?

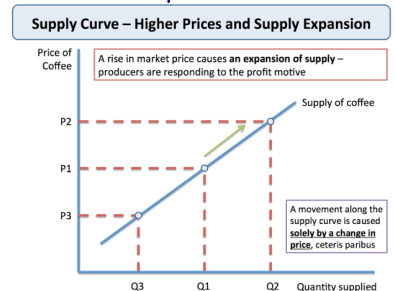
- ☒ A the costs borne by the fishing community
- B the costs of closing the well
- C the costs to the company of drilling the well in deep water
- D the loss of revenue when the oil company stopped drilling

External cost, cost borne by the third party for which no appropriate compensation is paid.

other options have price attached with it!

- 6 A supply curve for a commodity is drawn to show how quantity supplied varies with 'price'

- A government taxes. (Direct and indirect)
- B income.] shift's demand
- C tastes.]
- ☒ D the price of the commodity.



- 7 In 2010, floods caused severe damage to wheat production.

Supply ↓

How would this be shown on a market demand and supply diagram for wheat?

	supply curve	demand curve
A	no change	shift to the right
☒ B	shift to the left	no change
C	shift to the left	shift to the left
D	shift to the right	shift to the left

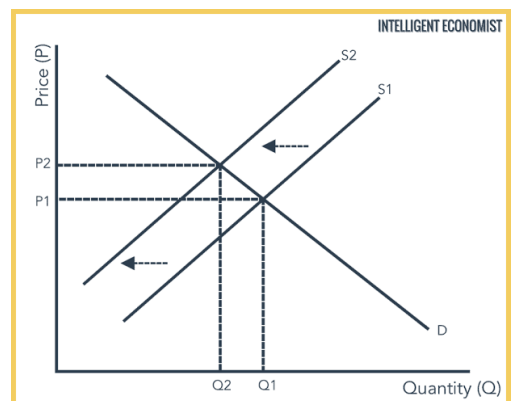
Perfectly inelastic

- 8 The demand for a good is totally inelastic with regard to price.

What will happen to the firm's revenue if the price rises by 20%?

Price ↑ 20% TR ↑ 20% QD unchanged

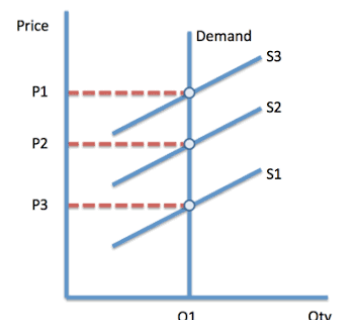
- A It will fall by 20%.
- B It will fall to zero. (Perfectly elastic demand)
- C It will remain unchanged. (Unitary)
- ☒ D It will rise by 20%.



Perfectly Inelastic Demand ($P_{ed} = 0$)

If the co-efficient of price elasticity of demand = zero, demand is perfectly inelastic i.e. demand does not vary with a change in price

- A perfectly inelastic demand curve is an extreme case for it implies that consumers are willing and able to pay any price for the product. If supply falls, equilibrium market price can rise without any contraction in the quantity demanded



* Other options have price attached, so can't be market failure

4

9 Which is a type of market failure?

A a general increase in the price of hotel rooms in busy summer seasons

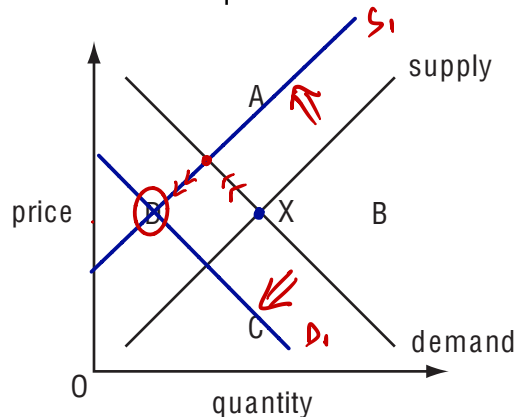
B an increase in house prices caused by easier borrowing for house buyers

☒ C an increase in travel time caused by a road accident (Existence of externalities)

D an increase in unsold goods because of a change in tastes

10 The market for a normal good is in equilibrium at point X. Consumers' incomes fall and the cost of producing the good rises. $S \downarrow$ $D \downarrow$

In which area of the diagram will the new equilibrium be?



11 On average, doctors earn more than bus drivers.

Which change would be likely to reduce the earnings gap between doctors and bus drivers?

A a decrease in the profits earned by bus companies, *Less earning of Bus drivers*

☒ B a decrease in the qualifications needed to be a doctor, *Doctor's earning reduces*

C an increase in demand for medical care *Doctor's earning rises*

D an increase in the number of people passing the driving test *More bus drivers available, earnings fall*

12 What could reduce the ability of a trade union to gain a pay rise for its members in a shoe factory?

A an increase in sales of shoe exports, *sales ↑, profits ↑, wage ↑*

B a rise in the demand for shoes, *sales ↑, profits ↑, wage ↑*

C a rise in the productivity of shoe workers, *output per worker ↑, Demand ↑*

☒ D more people willing to work in the shoe industry

$\downarrow$

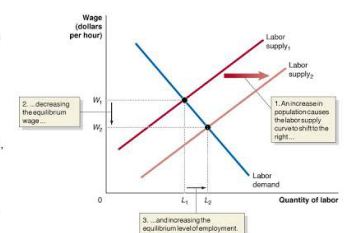
- Surplus of workers $\Rightarrow$ will accept lower wage
- Can be replaced
- wages $\uparrow$ $\downarrow$ demand for labours

The Effect on Equilibrium Wages of a Shift in Labor Supply

Figure 17.6
The Effect of an Increase in Labor Supply

Increases in labor supply will cause the equilibrium wage to fall but the equilibrium level of employment to rise:

1. As population increases, the labor supply curve shifts to the right.
2. The equilibrium wage falls from W_1 to W_2 .
3. The equilibrium level of employment increases from L_1 to L_2 .



• Elastic demand for labour

13 What might encourage a consumer to save rather than to spend?

- A being made unemployed, *spend on basic necessities*
- B discounts on products, *spend ↑*
- C government subsidies to producers, *lower prices, spend ↑*
- ☒ D high interest rates, *higher return on saving*

14 Why do banknotes function as money?

According to definitions: "Money is a commodity which is generally acceptable as a medium of exchange and at the same time it acts as a measure and a store of value". This is the reason that Prof. Sigwick says: "Money is what, what money does".

- A They are backed by gold.
- B They are durable.
- ☒ C They are generally acceptable.
- D They have intrinsic value.

When they say money has no intrinsic value, they are basically saying that money is valuable because WE say it is valuable, not because money is naturally valuable. Intrinsic means of itself. Gold is useful because you can use it for jewelry, electronics, and other important things

15 Which function is performed by both commercial banks and central banks?

- A acting as bankers to the government
- B advising the government on monetary policy
- ☒ C dealing in foreign exchange → *Option A, B, C are functions of central bank*
You can convert the currency from any private bank!
- D fixing the main interest rate

16 The table shows the proportion of income saved for different age groups.

age	15 – 29	30 – 39	40 – 49	50 – 62	63+
% of income saved	–34 %	–4 %	18 %	29 %	–23 %

What can be concluded from this data?

- A The 50 – 62 age group has the highest level of income.
- ☒ B The 50 – 62 age group saves the highest proportion of its income.
- C The older age groups earn more than the younger age groups.
- D The youngest age group spends more than the oldest age group.

Highest

** Those in negative are dis-saving*

Action of one affecting others!

17 Which is an external economy of scale?

External economies of scale (EEoS) External economies of scale occur outside of a firm but within an industry. For example investment in a better transport network servicing an industry will resulting in a decrease in costs for a company working within that industry.

- ☒ A availability of training facilities in local colleges
- B greater production from employees
- C increased credit facilities from banks
- D lower costs through bulk buying

Technical EoS

Financial EoS

purchasing EoS

Internal EoS

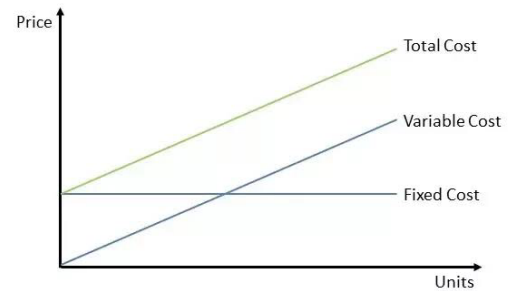
cost which varies with the level of output

6

18 What is a variable cost to a firm producing bicycles?

- ☒ A the component parts of the bicycles
- B the interest on money borrowed
- C the rent of the bicycle factory
- D the salaries of the senior managers

]} All are fixed cost



19 In January 2008, ICI, a major UK chemical firm, was bought by its rival, a Dutch chemical firm.

What definitely occurred when the Dutch firm bought ICI?

- A a partnership (It bought, no partnership)
- B economies of scale (Average cost ↓)
- ☒ C horizontal integration (Yes)
- D increased profits (No point of bought linked)

Horizontal Integration

• It is a type of integration strategies pursued by a company in order to strengthen its position in the industry. A corporate that implements this type of strategy usually merges or acquires another company that is in the same production stage.



20 Partnerships in the United States of America (US) can now issue tradable shares and can limit the amount of money that shareholders may lose.

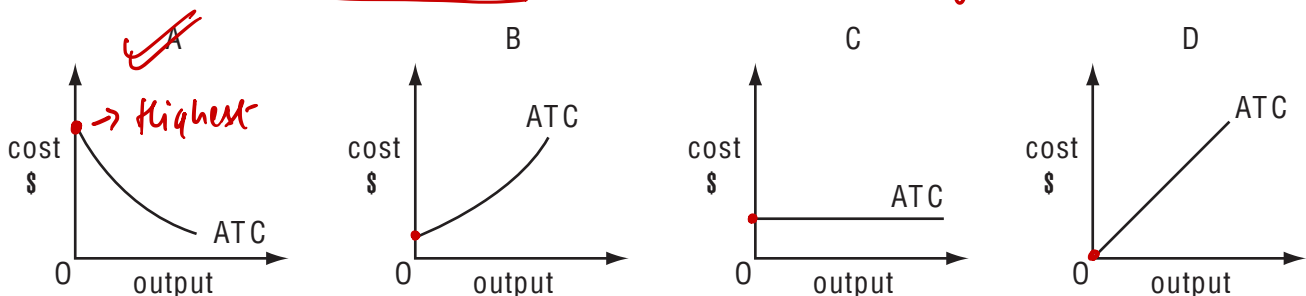
To which type of business organisation do these changes make US partnerships similar?

- A co-operatives
 - B public corporations
 - ☒ C public limited companies
 - D sole traders (single)
- public limited company. A company whose securities are traded on a stock exchange and can be bought and sold by anyone. Public companies are strictly regulated, and are required by law to publish their complete and true financial position so that investors can determine the true worth of its stock (shares).

A cooperative (also known as co-operative, co-op, or coop) is "an autonomous association of persons united voluntarily to meet their common economic, social, and cultural needs and aspirations through a jointly-owned and democratically-controlled enterprise".

21 The graphs show the average total cost (ATC) curves of four firms and how they change as output increases.

↑ Identified from y-axis, as it is the cost which has to be paid at zero level of output



Large scale production, Average cost low, Economies of scale
↑

22 What is a possible advantage to the consumer of a monopoly supplier in a market?

- ☒ A It achieves average costs which are lower than if there were many suppliers. [EOS]
- B It achieves profits which are higher than if there were many suppliers. High profits, High prices
- C It conducts advertising campaigns to discourage competition. Disadvantage to consumers
- D It decides which retail outlets may sell and distribute its goods. Limits the output and choices

23 Which government policy would best protect the environment?

- A encouraging economic growth More exploitation
- B exploiting natural resources External cost ↑
- ☒ C increasing tax on fuel Reduction in production and consumption, external cost ↓
- D removing controls on industry, freedom for firms

24 In 2010, the Brazilian Government stated it was concentrating on making the country the world's fifth biggest economy by 2025, and on narrowing the gap between the rich and the poor in the country. GDP ↑ Re.distribute

What does the statement indicate were the main aims of the Brazilian Government?

- A balance of payments stability and price stability NO
 - ☒ B economic growth and redistribution of income
 - C price stability and economic growth No, Yes
 - D redistribution of income and balance of payments stability Yes, No
↑ encourage
- 25 A government wishes to stimulate economic recovery. (aim:- achieve growth)

Which action will assist this?

- A decreasing government investment, AD ↓
- ☒ B decreasing income tax, disposable income ↑, CT, AD ↑, multiple effect
- C increasing indirect taxation, AD ↓
- D increasing interest rates, AD ↓

26 A country has a proportional system of taxation.

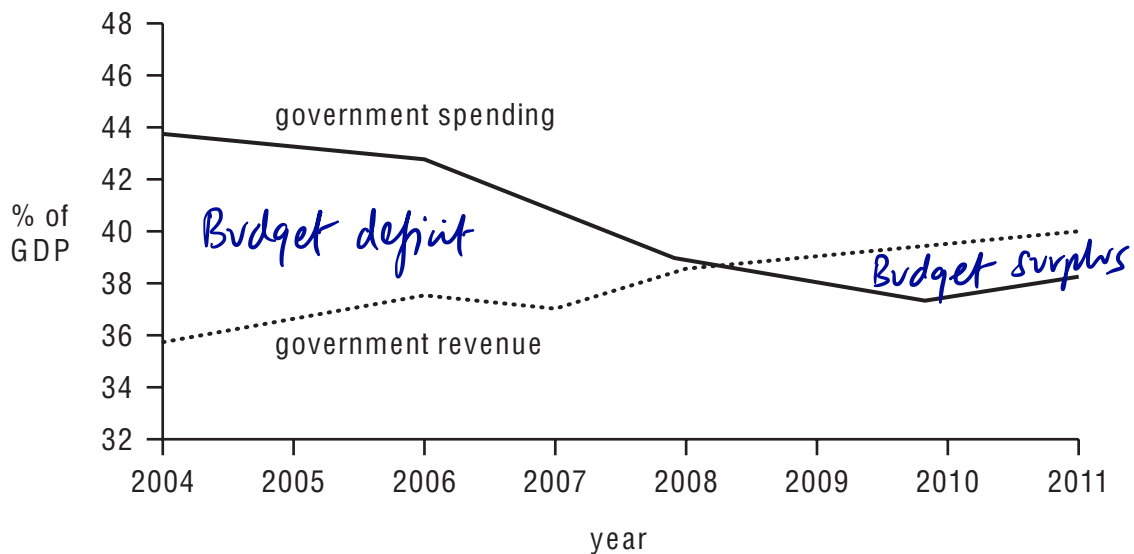
A person pays \$500 tax when earnings are \$5000. 10%. [$5000 \times 10\% = 500$]

How much tax will be paid if earnings rise to \$12 000?

- A \$120
- B \$500
- ☒ C \$1200
- D \$7500

$$12000 \times 10\% \\ \Rightarrow 1200$$

- 27 The graph shows government revenue and spending in a country, as a percentage of GDP, between 2004 and 2011.



What can be concluded from the graph?

- A The balance of payments position improved. *no data given, Data is of Budget*
- B The borrowing of the government increased. *no*
- C The economy went into recession (economic downturn). *other way round*
- ☒ D The government budget moved from deficit to surplus. *Yes*

- 28 The government pays a subsidy for each worker employed by a firm in an area of high unemployment.

When would this policy be most successful in reducing unemployment?

- A when the firm is capital-intensive *No Benefit for firm*
- ☒ B when the firm is labour-intensive, requiring mainly unskilled labour *Subsidy, cost ↓, more labour employed*
- C when the firm provides goods to the domestic market
- D when the firm requires mainly specialist, skilled labour *No benefit to the firm, as they require worker of particular skills*

- 29 What is not involved in the construction of a retail price index?

- compare* ← A a base year (*Kala Bacha*)
- B a basket of goods (*common goods*)
- ☒ C incomes
- D weighting of products

↓
Proportion of income
spent on a
commodity

RPI vs CPI?

Most countries compile a **consumer price index (CPI)** or a **retail price index (RPI)**, or both

The methodology used for each index series is the same, but the products they include and the types of consumer they cover can differ. As a result they can provide slightly different measures of inflation

	RPI	CPI
Products	The RPI covers a range of costs excluded from the CPI, including: ▶ mortgage interest payments ▶ buildings insurance ▶ house purchase costs ▶ television licence fees ▶ trade union subscriptions It also includes a price index for cars based on used car prices.	The CPI covers certain charges and fees excluded from the RPI, including: ▶ stockbroker fees ▶ university accommodation ▶ foreign student tuition fees The index for the purchase of new cars in the CPI is based on actual published prices for new cars.
Population base	Representative of the majority of private households but excludes highest earners and pensioner households dependent mainly on welfare benefits. It includes expenditure both within the UK and abroad by UK households.	Representative of the majority of private households including institutional households (for example nursing homes) and foreign visitors to the UK. Only expenditure within the UK is covered.

- * Real GDP per head
- * Life expectancy, longevity
- * Education enrollment, schooling years

9

30 The Human Development Index (HDI) measures more than just average incomes.

What are two additional measures it includes?

- A access to clean water number of doctors
- ☒ B life expectancy years of schooling
- C number of doctors poverty rate
- D years of schooling poverty rate

31 Each year, extra cleaning staff were employed by a hotel on a temporary basis during the busy holiday period. They were not employed when the hotel was not busy.

What type of unemployment occurred when the hotel was not busy?

- A cyclical (*when AD ↓*) (*Demand deficient*)
- B frictional (*mismatch, looking for better*)
- ☒ C seasonal Seasonal unemployment when people are unemployed at particular times of the year when demand for labour is lower than usual.
- D technological (*skills not matched*)

32 A country's Gross Domestic Product (GDP) falls, while its population falls.

What happens to GDP per head? $\frac{GDP \downarrow}{Population \downarrow} \Rightarrow \text{uncertain}$

- A It falls.
- ☒ B It is uncertain.
- C It remains constant.
- D It rises.

Proportion of income spent on a commodity
↑

33 In the measurement of the UK's Retail Prices Index, a greater weight was given to bottled water in 2010 than 2009.

What does this change indicate?

- A Government statisticians checked the price change of a greater range of bottled water in 2010 than in 2009. *no*
- ☒ B People spent a higher proportion of their total spending on bottled water in 2010 than in 2009. *yes*
- C The price of bottled water increased more in 2010 than in 2009. *no*
- D There was an improvement in the quality of bottled water in 2010 compared with 2009. *no*

- 34 An Economics student described a typical developing country as having a large population, a low GDP per head, a relatively large primary sector and an uneven income distribution.

Which of these features is not necessarily accurate?

- ☒ A a large population
☐ B a low GDP per head
☐ C an uneven income distribution
☐ D a relatively large primary sector

They must be there in a developing country

- 35 In the developing economies of southern Africa, both infant mortality and life expectancy have fallen. Life expectancy now averages only 41 years.

What is the result of these changes?

- ☒ A Current labour supply has fallen. as less people are living longer
☐ B Fewer primary schools are needed.
☐ C Governments will pay for more retirement pensions. life expectancy is low, G↓
☐ D Less will need to be spent on health care. More need to be spent

- 36 Which feature is a typical characteristic of a developed country?

- ☐ A a high death rate
☒ B a high literacy rate (always)
☐ C a low number of doctors per head
☐ D a small elderly population

- 37 The table shows the percentages of consumer spending on different items in four countries, which have similar geographical conditions and climate.

Which country is likely to have the highest standard of living? less on food, more on transport

country	percentage of consumer spending on each item		
	food	housing	transport
☒ A	20 ✓	30	30 ✓
B	40	25	15
C	50	20	10
D	45	20	15

* Remember the data is in %

- 38 A government agreed to provide \$20 million to a developing country to help supply emergency aid.

In which part of the current account of the balance of payments was this payment recorded?

- ☒ A current transfer flows (government to government) (aid, gifts)
☐ B income flows (dividends, interest etc)
☐ C trade in goods
☐ D trade in services
- } Balance of Trade

- 39 In some Asian countries the cost of labour is lower than in developed countries. As a result they manufacture and export clothes to Europe, where the demand for clothes is high.

The quality of these clothes, however, is not as good as some of the clothes produced in Europe.

What is likely to happen in the Asian countries and to the total expenditure on clothes in Europe?

	impact in Asian countries	change in expenditure in Europe
☐ A	capital account will improve	increase
☒ B	<u>current account will improve</u>	uncertain ✓
☐ C	exchange rate will fall	uncertain ✓
☐ D	terms of trade will fall	decrease

Exports ↑
ER ↑

price ratio

* As they export, so it will be recorded in current account, balance of trade is part of it.

* As quality is not up to the mark so it depends, there can be rise or fall in expenditure

- 40 The value of the Pakistani rupee changes, from 60 rupees to US\$1, to 50 rupees to US\$1.

What effect will this have on the price of Pakistani products sold in the US and the price of US products sold in Pakistan?

'Exports of Pakistani goods'

	price of Pakistani products sold in the US	price of US products sold in Pakistan
☐ A	increase ✓	increase
☒ B	increase ✓	reduce
☐ C	reduce	increase
☐ D	reduce	reduce

Import by Pakistan

1\$: 60 Rs

1\$: 50 Rs

Depreciate Appreciate

X price ↓ M price ↑ X price ↑ M price ↓

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